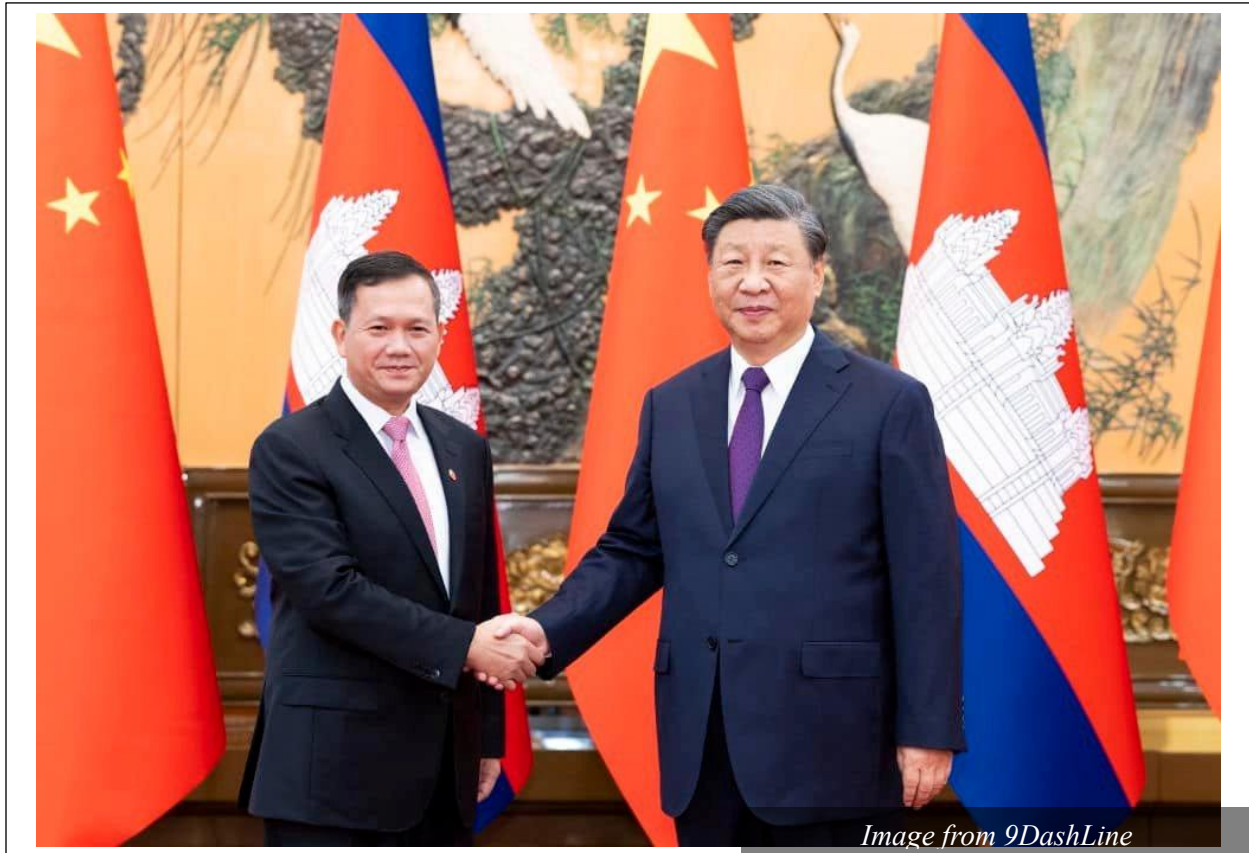




Navigating the Giant's Shadow: China's Neighborhood Diplomacy and Strategic Imperatives for Cambodia

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Introduction

The global geopolitical landscape is currently undergoing a structural transformation as the center of gravity shifts decisively toward Asia. At the heart of this shift is China's New Neighborhood Diplomacy, a strategy that has elevated peripheral relations to the pinnacle of Beijing's foreign policy hierarchy. While China historically prioritized relations with established Great Powers, specifically the United States, the ascension of Xi Jinping in 2013 marked a pivotal turn where the neighborhood became the foremost priority in diplomatic work (The Press Office, International Department of the CPC Central Committee [CPC], 2025). This strategy is not merely a collection of trade deals but an organic, overarching vision aimed at forging a community of common destiny where China's security and prosperity are inextricably linked to those of its neighbors (Zhao, 2016). For Cambodia, a nation occupying a central role in the Diamond Hexagon cooperation framework, navigating this diplomacy requires a sophisticated understanding of its subtext and its implications for regional stability, particularly regarding complex neighbors like Thailand (CGTN, 2026).

1. The Evolution and Subtext of China's Neighborhood Diplomacy

China's neighborhood diplomacy has transitioned from a series of reactive, issue-specific bilateral engagements into a consolidated grand strategy. Following the Cold War and the isolation resulting from the 1989 Tiananmen Square incident, Beijing sought to re-establish its standing by improving relations with its periphery, utilizing a 1992 "reform and opening-up" policy to accelerate economic ties (Takahara, 2012). From the late 1990s through 2011, China championed the New Security Concept, engaging in multilateral frameworks like the Shanghai Cooperation Organization (SCO), founded in 2001, to promote cooperative security and counter a Cold War mentality (Zhao, 2016; Takahara, 2012). The watershed year of 2013 marked the first-ever central work conference on neighborhood diplomacy, which elevated peripheral relations to the top of China's diplomatic agenda and saw the launch of the Silk Road Economic Belt and the 21st-Century Maritime Silk Road, collectively known as the "One Belt, One Road" (OBOR) or Belt and Road Initiative (BRI) (Zhao, 2016). Between 2013 and 2023, China transitioned from providing basic economic aid toward creating integrated regional modernization frameworks, marking the decade of connectivity in 2023 with a symposium focused on the principles of "amity, sincerity, mutual benefit, and inclusiveness" (CGTN, 2026). By April 2025, this policy evolved into the creation of all-weather communities, exemplified by high-level state visits to neighbors such as Viet Nam, Malaysia, and Cambodia (CPC, 2025).

The read between the lines goal of this evolution is the attainment of regional centrality, as China views becoming the power center of the regional international system as a logical and historical outcome of its rise (Zhao, 2016). Furthermore, the strategy serves as a sophisticated response to the U.S. pivot to Asia (initiated in 2011); by marching West through the Eurasian landmass, Beijing seeks to expand its space and avoid a direct, zero-sum military competition with American power in maritime East Asia (Wu, 2016; Zhao, 2016). Ultimately, China intends to provide public goods

that allow the people of Asia to run the affairs of Asia, effectively offering an alternative to U.S.-led security architectures (Zhao, 2016; Wu, 2016).

2. Regional Conflict through the Cambodia-Thailand Lens

The success of China's neighborhood diplomacy is contingent upon a stable and cooperative periphery. Beijing has realized that if its neighborhood is chaotic and unstable, its own national security is undermined and its BRI initiatives are likely to be frustrated (Zhao, 2016). In the context of Cambodia and Thailand, bilateral frictions, ranging from historical border disputes to modern economic competition, represent a significant obstacle to the modernization engine Beijing is building (CGTN, 2026).

A critical lens for analyzing this conflict is the issue of accountability. While Thailand is a key neighbor and participant in joint military exercises with China (Takahara, 2012), its economic behavior has sometimes complicated the shared future of the Mekong subregion. Specifically, Thai dam-building companies have been identified as participating in an environmental race to the bottom in Laos, undertaking projects with devastating environmental consequences for downstream neighbors like Cambodia (Freeman, 2017). These actions often contradict China's green and inclusive promises, forcing Beijing to manage agency costs where regional stability is sacrificed for corporate profit (Freeman, 2017).

From a strategic perspective, China no longer remains a passive observer when neighborhood relations are strained and troubled (Zhao, 2016). Just as Beijing transitioned from a passive observer to an active mediator in the Afghanistan-Pakistan nexus to protect its frontier security, it now uses neighborhood diplomacy to manage differences through dialogue (Zhao, 2016; CGTN, 2026). The strategic implication is that regional actors, particularly Thailand, are increasingly held accountable to the requirements of the community of common destiny (CPC, 2025). If a state were to initiate a border conflict or territorial dispute, it would be viewed as tying China's hands and a direct obstruction to the distribution of regional security public goods (Zhao, 2016; Wu, 2016).

3. Strategic Impact and Insights for Cambodia

For Cambodia, China's neighborhood diplomacy has been the primary driver of national modernization. Tangible benefits include the "Diamond Hexagon" framework and the establishment of a "new-era, all-weather China-Cambodia community with a shared future" in 2025 (CPC, 2025; CGTN, 2026). This relationship has added massive hydroelectric capacity, with Chinese firms accounting for 46% of additions in Cambodia, Laos, and Myanmar between 2006 and 2011, and delivered humanitarian aid, such as medical teams that have restored sight to thousands of cataract patients (Freeman, 2017; CGTN, 2026).

However, these benefits are accompanied by significant "agency costs." Research suggests that Chinese State-Owned Enterprises (SOEs) remain principally profit-seeking actors that prioritize

the minimal standards of the host country over the grand strategic goals of the Chinese state (Freeman, 2017).

Drawing on the experiences of regional neighbors such as Nepal, where a persistent sense of political subordination to larger powers has shaped foreign policy behavior, Cambodia must safeguard its strategic autonomy through proactive and deliberate governance (López Areu, 2025). The enduring lesson captured in the “sweet potato between two rocks” analogy underscores the vulnerability of smaller states that fail to actively manage external pressures, warning against becoming passive arenas for great power competition (López Areu, 2025). In this context, Cambodia can pursue a strategic path built on three mutually reinforcing pillars.

First, leveraging high standards is essential. By aligning Chinese-funded projects with the stringent approval mechanisms and environmental and social safeguards of institutions such as the Asian Infrastructure Investment Bank (AIIB), Cambodia can ensure that incoming investments are both sustainable and socially responsible. Evidence from regional cases suggests that Chinese state-owned enterprises perform most effectively when host governments firmly require adherence to international best practices (Freeman, 2017).

Second, Cambodia can capitalize on what may be termed a sincerity advantage. By maintaining political stability and avoiding the nationalist-populist tensions that have strained China’s relations with some neighboring countries, Cambodia positions itself as a reliable and cooperative partner. This enhances its role as a “fulcrum state” within China’s regional strategy, allowing it to benefit more consistently from economic engagement while implicitly demonstrating the costs of instability elsewhere (Zhao, 2016; Wu, 2016; López Areu, 2025).

Finally, insistent sovereignty remains critical. Cambodia must strengthen domestic oversight mechanisms to ensure that foreign-funded projects do not compromise national integrity or causing social harms. As China’s concept of a shared future evolves, Beijing increasingly expects host countries to take greater responsibility for managing project outcomes and preventing local unrest that could constrain Chinese engagement. Exercising firm but constructive oversight will therefore not only protect Cambodia’s national interests but also align with China’s own expectations for sustainable cooperation (Freeman, 2017; CPC, 2025).

4. Conclusion

China’s neighborhood diplomacy represents a fundamental reordering of the regional international system, shifting away from U.S.-centric hegemonic stability toward a "symbiotic" perspective rooted in intertwined futures and shared security public goods. For Cambodia, this represents an unprecedented opportunity to leverage the "modernization engine" of the Belt and Road Initiative and the Diamond Hexagon framework to drive national development and finally escape the cycle of poverty. However, the realization of this vision is strictly contingent upon a stable periphery, placing a high premium on regional accountability. In this framework, any neighbor that initiates

instability, whether through environmental degradation in the Mekong or provocative border frictions, is viewed as a direct obstruction to the shared future Beijing seeks to build.

As the region's premier all-weather partner, Cambodia must strategically position itself as a fulcrum state for stability. This role requires Cambodia to not only manage its own internal development standards to minimize agency costs but also to act as a disciplined manager of its complex neighborhood relations. In its relationship with Thailand, Cambodia can leverage China's preference for managing differences through dialogue to highlight that actions triggering instability effectively tie China's hands and delay the distribution of regional modernization dividends. By adopting this proactive stance, Cambodia avoids the historical trap of being a sweet potato between two rocks, a small state caught passively in the middle of Great Power competition. Instead, by acting as a strategic architect of regional stability and a rigorous guardian of its own sovereign standards, Cambodia can transform its geopolitical identity from a recipient of aid into a central, indispensable pillar of a shared and prosperous Asian future.

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